

World in Brief: America and Iran to “stand down”; Putin acknowledges fuel shortages



Photograph: Arash Khamooshi/Polaris/eyevine

America and **Iran** have reportedly agreed to “stand down” after attacking each other over the weekend. An American official told media outlets that both sides would continue “technical talks” on [implementing the ceasefire](#) agreed earlier this month. He added that vessels could now move freely through the Strait of Hormuz. Iran did not comment on the agreement.

Vladimir Putin acknowledged that **Russia** was facing fuel shortages following **Ukrainian** strikes on Russian refineries. But Mr Putin said the problem was “not critical” and that his forces would continue to attack Ukraine. Last week Volodymyr Zelensky, Ukraine’s president, ordered 40 days of [intense strikes](#) on Russia to press Mr Putin to end the war.

China added 20 **Japanese** entities to its export-control list, citing concerns over Japan’s “new-style militarism”. The additions include subsidiaries of Mitsubishi, a Japanese conglomerate. Another 20 entities were added to a separate “watch list”. China’s commerce ministry insisted that the measures would not affect “normal trade” [between the countries](#).

Pakistan said it killed 29 militants near its border with **Afghanistan** in reprisal for “multiple terrorist incidents” in recent days. Afghanistan’s Taliban government said at least 36 civilians had been killed in the strikes, with 163 injured, in what it called an “act of brutality”. Pakistan accuses Afghanistan [of sheltering hostile fighters](#), including the Tehreek-e-Taliban Pakistan, a militia that frequently targets Pakistani soldiers and police.

Shares in **Samsung Electronics** and **SK Hynix** fell amid expectations that the South Korean semiconductor firms would announce investments worth 2 quadrillion won (\$1.3trn) over the next ten years. According to local media, the money will go towards building new chipmaking plants and data centres. The two firms dominate the market for [high-bandwidth memory chips](#), which are crucial for artificial-intelligence models.

Rescue efforts continued in **Venezuela** as the death toll from Wednesday’s [earthquakes](#) rose to over 1,500. Tens of thousands of people are still missing. Around 3,300 are injured. Initial projections from the United Nations Development Programme suggest that the economic impact of the disaster may amount to roughly 6% of GDP. The two quakes are the country’s largest—and possibly deadliest—in over a century.

The Czech Republic, Germany, Hungary and Poland recorded all-time high temperatures as a **heatwave** continued to scorch **Europe**. The UN’s World Health Organisation estimated that there had been more than 1,300 excess deaths on the continent linked to the heat. More than 191m people across Europe endured [temperatures of over 35°C](#) on Sunday.

Figure of the day: 1 in 8, the share of students entering the University of California San Diego with maths skills below high-school level. [Read our report](#) on why students are doing worse than you think.

US in Brief: Sent packing



Photograph: Getty Images

Markwayne Mullin, secretary of Homeland Security, told **migrants** with temporary protective status to “Either... be here underneath a permanent status or we’ll help you get back to your country.” Last week the Supreme Court ruled that the Trump administration could remove Haitians’ and Syrians’ rights to work and live in America; some 350,000 Haitians and 6,000 Syrians could be deported as a result. Democrats and some Republicans, such as Mike DeWine from Ohio and Mike Lawler from New York, have denounced the ruling.

Speaking to CBS, **Bill Cassidy** accused the president of treating Congress as “merely an appendage” during his war in Iran. The recalcitrant Republican senator from Louisiana, **ousted** in a primary last month after Donald Trump backed a more obedient challenger, also said he had “lost trust” in Robert F. Kennedy junior, whose stance on vaccines was based on a “foundation of lies”. Mr Cassidy, a medical doctor, controversially voted to confirm the health secretary’s appointment.

Mike Johnson, the Republican speaker of the House of Representatives, said he plans to send a bipartisan **housing bill** to Mr Trump on Monday. Last week the president abruptly **cancelled plans to sign it** until senators passed the SAVE America Act, which would require proof of citizenship and photo identification to vote.

Mr Johnson said the housing bill, which aims to increase supply and home ownership, is a Republican priority.

Three **firefighters** were killed and two injured while battling huge, fast-moving blazes along the Colorado-Utah border. They were part of a team assigned to the Knowles and Gore fires, which have since merged with others to form the Snyder fire, which has so far burned around 44 square miles (114 square kilometres). Wildfires flared across western America over the weekend after several days of hot, dry and windy weather.

Mr Trump said the **Lincoln Memorial Reflecting Pool** in Washington will be drained after July 4th since it had suffered “great damage from Criminal, Radical Left Vandals, people that truly hate our Country”. The administration spent nearly \$15m on renovations including a new “American-flag blue” lining. But [the return of algae](#)—which Mr Trump has claimed is “criminally made”—has turned the water green.

Andy Burnham's economic vision for Britain



Photograph: Alamy

Andy Burnham will set out his [economic plans](#) for Britain in a speech this week. The former mayor of Greater Manchester is almost certain to become the next prime minister after Sir Keir Starmer resigned on June 22nd. But to date, his [economic vision](#) has been painted in broad brush-strokes, with alarmingly little detail.

Mr Burnham is clearest on his desire to shift power outside London; his speech will probably include proposals to devolve more powers to local areas. His other priority is to bring essential services, like water and energy, under “stronger public control”. He wants to bring utility bills and [rail fares](#) down. But he has kept schtum about how he would fund this. He is also silent on some of the other big issues facing Britain, like AI.

For the British public, this speech is an opportunity to clear the air. The [challenge](#) for Mr Burnham will be to convince bond markets that his plans are affordable while offering voters something bold enough to feel like change.

Israel and Lebanon's fragile truce



Photograph: AP

On Friday Israel and Lebanon signed a deal that, in theory, sets them on course for a lasting peace. But peace will be a long way off. Negotiated over two months in Washington, the accord commits the Lebanese government to [disarm Hizbullah](#), an Iranian-backed Shia militia. Israel will then gradually withdraw from the territory it occupies in south Lebanon—although not until Hizbullah is uprooted. Two “pilot zones” are meant to provide proof of concept.

Supporters of the agreement see it as a first step toward diminishing Iran’s influence in Lebanon and defanging a group that has long acted as a state within a state. Critics retort that it does not specify [a timeline](#) for an Israeli retreat: instead of ending the occupation, the deal may legitimise it. Many Lebanese fear it will spark a new civil war (which Hizbullah often threatens). The pact may also complicate America’s broader negotiations with Iran, which is demanding a full Israeli withdrawal. A final resolution, for now, remains distant.

India's industrial engine sputters on



Photograph: EPA

How hard did the closure of the Strait of Hormuz hit India's economy? Investors will get a sense of the [damage](#) on Monday when the Ministry of Statistics and Program Implementation publishes its latest index of industrial production for May. Economists forecast that the growth rate will have slowed to 4.2% compared to a year before, and down from 4.9% in April. The flash purchasing managers' index for June, published last week, also pointed to a loss of momentum in the Indian economy.

A more detailed account of India's economic health will shed light on which [parts of the economy](#) have been more resilient. Last month MOSPI overhauled the index to include more granular detail on each industrial sector's performance. Energy generation, for instance, is now split into renewable and non-renewable categories. April's sky-high reading is therefore incomparable with previous data, making historical comparisons harder to draw. Yet a revamped index will signal which industries are powering India's growth.

Mercosur splits the EU spoils



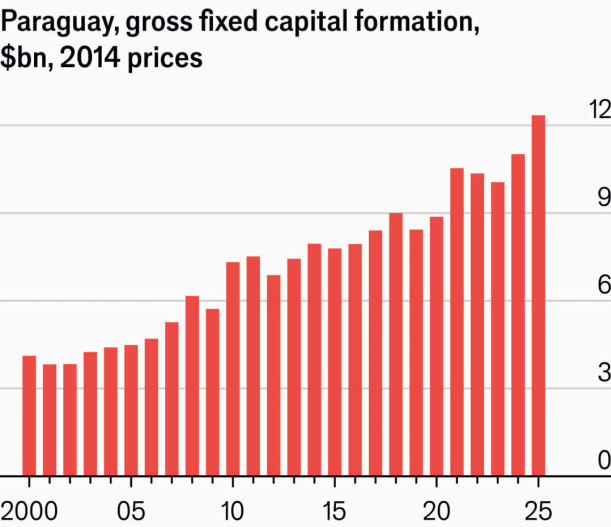
Photograph: Reuters

The leaders of Mercosur—a South American trade bloc comprising Argentina, Brazil, Paraguay and Uruguay—will gather in Asunción, Paraguay’s capital, on Monday. The summit takes place two months after the bloc’s [trade deal](#) with the European Union took provisional effect, concluding more than 25 years of negotiations.

But before members can reap the benefits of access to European markets, they must settle an awkward question: how to divide export quotas for prized products such as beef, poultry and sugar. Paraguay favours an equal split among founding members; [Brazil](#) argues allocations should match each country’s share of global trade.

As the host nation, the stakes could not be higher for Paraguay. Long one of South America’s poorest and most isolated economies, Paraguay has turned tariff-free access to Brazil and [Argentina](#) into a selling point for manufacturers. Companies are shifting production across the border, pushing exports to record levels. The economy grew by 6.6% last year and won an investment-grade credit rating.

Low taxes, high hopes



Source: Haver Analytics

The Queen of the court returns



Photograph: AP

This year's Wimbledon Championships, which begin on Monday, needed a boost. Faced with competition from the football [World Cup](#), the absence of Carlos Alcaraz, who is recovering from a wrist injury, and each of the leading female players struggling for form, casual tennis fans needed a reason to tune in. The seven-time Wimbledon singles champion, Serena Williams, has provided it. Ms Williams has come out of retirement to play.

She returns as an underdog. It has been nearly four years since [her last singles match](#), when she lost to Ajla Tomljanovic at the 2022 US Open. Ms Williams' first-round opponent is 24 years her junior. Speculation about her reasons for returning adds a layer of intrigue to each appearance. She insists winning is not what motivates her. Pressed on her comeback by journalists ahead of the Queen's Club Championships earlier this month, Ms Williams' response was curt: "Why not?"

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Monday: Which businessman, currently chief executive of Square, was a co-founder of Twitter?

We have had good and bad presidents, and it is a consoling reflection that the American nation possesses such elements of prosperity that the bad presidents cannot destroy it...

Henry Clay